

04-Aug-2015

Zoetis, Inc. (ZTS)

Q2 2015 Earnings Call

CORPORATE PARTICIPANTS

John O'Connor
Investor Relations Officer

Juan Ramón Alaix
Chief Executive Officer

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

OTHER PARTICIPANTS

Kevin K. Ellich
Piper Jaffray & Co (Broker)

Louise Chen
Guggenheim Securities LLC

Erin E. Wilson
Bank of America Merrill Lynch

John C. Kreger
William Blair & Co. LLC

Wendy L. Lin
JPMorgan Securities LLC

Kathy M. Miner
Cowen & Co. LLC

Alex Arfaei
BMO Capital Markets (United States)

Volodymyr Nikolenko
Evercore Partners, Inc.

Jeffrey Holford
Jefferies LLC

MANAGEMENT DISCUSSION SECTION

Operator: Good day and welcome to the Second Quarter 2015 Financial Results Conference Call and Webcast for Zoetis. Hosting the call today is John O'Connor, Vice President of Investor Relations for Zoetis.

The presentation materials and additional financial tables are currently posted on the Investor Relations section of zoetis.com. The presentation slides can be managed by you, the viewer, and will not be forwarded automatically. In addition, a replay of this call will be available approximately two hours after the conclusion of this call via dial-in or on the Investor Relations section of zoetis.com.

At this time, all participants have been placed in a listen-only mode. And the floor will be open for your questions following the presentation. [Operator Instructions] In the interest of time, we ask that you limit yourself to one question and then queue up again with any follow ups. Your line will be muted when you complete your question. [Operator Instructions]

It's now my pleasure to turn the floor over to John O'Connor. John, you may begin.

John O'Connor
Investor Relations Officer

Thank you. Good morning and welcome to the Zoetis second quarter 2015 earnings call. I'm joined today by Juan Ramón Alaix, our Chief Executive Officer, and Paul Herendeen, our Chief Financial Officer.

Before we begin, I'll remind you that the slides presented on this call are available on the Investor Relations section of our website and that our remarks today will include forward-looking statements, and actual results could differ materially from those projections. For a list and description of certain factors that could cause results to differ, I refer you to the forward-looking statement in today's press release and our SEC filings including, but not limited to, our 2014 Annual Report on Form 10-K and our Reports on Form 10-Q.

Our remarks today will also include references to certain financial measures which were not prepared in accordance with Generally Accepted Accounting Principles or U.S. GAAP. A reconciliation of these non-GAAP financial measures to the most directly comparable U.S. GAAP measures is included in the financial tables that accompany our earnings press release and in the company's 8-K filing dated today, August 4, 2015. We also cite operational results, which exclude the impact of foreign exchange.

With that, I will turn the call over to Juan Ramón.

Juan Ramón Alaix

Chief Executive Officer

Thank you, John, and good morning, everyone. Today I will discuss our performance for the second quarter and provide updates related to the integration of Abbott Animal Health, the performance of new products and progress on our operational efficiency program. Paul will then provide additional perspective on the quarter and comment on our guidance for 2015, 2016 and 2017. All the growth rate that I'm discussing today are operational, excluding the impact of foreign currency.

I am very pleased to report that this quarter we generated very strong revenue and adjusted net income growth based on the strength and diversity of our business. The growth this quarter was driven by the positive performance of our portfolio in both Companion Animal and Livestock, the addition of Abbott Animal Health, the growth of APOQUEL and other new products, and continued discipline on operating expenses.

In the quarter, we generated operational growth of 11% in revenue and 20% in adjusted net income, delivering adjusted diluted EPS of \$0.43 per share. This performance continued to demonstrate our long-term value proposition to grow adjusted earnings faster than sales. In the quarter, APOQUEL contributed 2% of the revenue growth, or \$19 million. Abbott Animal Health accounted for 2% of the revenue growth, or \$25 million, and another 2% came from new product launches. The remaining 5% is related to in-line performance, including a 2% price increase.

In Livestock, we grew 8%, driven by strong growth in cattle and swine. Cattle revenue grew 9%, with continued favorable market conditions in the U.S. and Brazil partially offset by the impact of [ph] herd reductions (5:28) in Australia. Swine products also made significant contribution this quarter, growing 14% based on strong sales in the U.S. and China. In the U.S., the market for Swine population is rebuilding after the original impact of PEDV. We continue adoption of our key brands and the positive impact from our new products, like our beta-agonist ENGAIN. Poultry revenue grew 1%, reflecting new product launches which were partially offset by the customer rotation of medicated feed additives in certain Latin American markets.

Turning to Companion Animal. Revenue grew 15% due to additional sales from the Abbott Animal Health and the continued performance of key brands, such as APOQUEL in the dermatology space and Stronghold and ProHeart in parasiticides. We feel very good about the progress we have made on the integration of Abbott Animal Health, and we expect to exceed the target we set from the acquisition in terms of revenue and cost synergies.

Now switching to some operational updates. We completed the go-live of our ERP system in the U.S. at the beginning of May as scheduled. From a systems and control point of view, the implementation was successful. However, due to the large number of customers directly impacted by our change of systems, we have had customers experiencing a disruption in their services. The vast majority of these shipment and billing issues have been resolved and customers should see the level of their service improving and returning to the quality they expect and deserve from us. For implementation in other countries, we remain on track to complete the global ERP program by the end of Q1 2016.

As for APOQUEL, since April of this year we had significant increase from supply and today more than 13,000 veterinarians have access to APOQUEL in the U.S. and more in markets outside the U.S. We have the manufacturing capacity to meet the future demands of the product, but the process of scaling up the active pharmaceutical ingredient, or API, has been challenging. We have now made the necessary changes to improve the process and we are continuing to ramp up our manufacturing.

While the situation is improving, we are not yet meeting all market demand. And our first priority has been to manage distribution of available supply to our locations and to fulfill orders for our current customers. With this in mind, we have temporarily suspended taking new first-time customers' orders for APOQUEL in most markets. We remain committed to making APOQUEL available to more new customers as soon as possible. Given this change in our supply expectations, we now expect revenue for APOQUEL to be about \$150 million in 2015 and to increase significantly in 2016.

The [ph] productivity (9:28) of our investment in new product innovation and product lifecycle development continue to support our future growth targets. The U.S. Department of Agriculture has granted us a Conditional License for a first-of-its-kind antibody therapy that targets interleukin-31 or IL-31 to help reduce clinical signs associated with atopic dermatitis in dogs. It represents another major breakthrough from our R&D platform based on new scientific insight into the pathway of allergic skin conditions.

We continue to receive approvals for new indications and formulations of our key products and to expand many of our products into new markets. In the second quarter, for example, we received approval of new label claims in the U.S. and European Union for CERENIA, an antiemetic to treat and prevent acute vomiting in dogs and cats.

We continue expanding the breadth of our FOSTERA swine vaccine franchise, with new label claims in Canada and Latin America. And DRAXXIN 25, an injectable anti-infective, which has tapped an important market for swine was launched in major European markets such as Spain, Italy and Portugal.

Let me now shift to some comments and updates on the operational efficiency program we announced last quarter. As you may recall, the program we announced was designed to simplify our operations, improve our cost structure and better allocate resources for future long-term growth. We expect to generate cost savings of at least \$300 million in 2017 and improve our adjusted EBIT margin from 25% in 2014 to approximately 34% in 2017 as we reduce complexity and achieve greater focus on key brands and markets.

Our business leaders are moving ahead with the elimination of approximately 5,000 SKUs from a total of 13,000 and changing our distribution model in about 25 markets. Approximately 45 countries will remain with a direct sales model and generate 95% of our revenue. Meanwhile, we have begun the process of selling or exiting seven manufacturing sites and another three sites will be sold or exited in a later phase as part of our supply network strategy. We have also started job reductions as we reorganize and streamline our operations.

We are making very good progress on implementation of our operational efficiency program and I'm very optimistic about delivering or exceeding the target of \$300 million in savings by 2017. While we are making these

changes for efficiency, we remain absolutely committed to the business model that has been driving our success: our direct selling approach and world-class field force that differentiates us from the competition, our investment in innovation that drives breakthrough products and also ensure the lifecycle development of our portfolio, and our high-quality manufacturing and supply.

In summary, we delivered excellent second quarter operational results with diverse sources of revenue growth across our portfolio. We remain well positioned for profitable growth based on our core capabilities, diverse portfolio and focus on expense control and we are seeing good initial progress on the efficiency program that will make us even more competitive and profitable for the long term.

I will now ask Paul to provide some comments on the quarter. Paul?

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

Thank you, Juan Ramón. The financial highlights of the quarter are revenue growth and cost discipline. Revenues were up 11% operationally compared with Q3 of 2014, with growth coming principally from the addition of acquired Abbott Animal Health products, the ramp up of APOQUEL sales and strength in our Livestock portfolio.

With respect to operating expenses, the steps we took earlier this year to reduce expenses in order to preserve our 2015 profit guidance in the face of currency headwinds enabled us to hold the growth of our operating expenses to 2% on an operational basis compared with the prior-year quarter and keeps us on track to deliver on the 2015 portion of the efficiency initiative that we announced back in May.

The strong revenue performance, favorable gross profit margins mainly due to the favorable impact of FX on cost of goods sold, and expense control enable us to report very strong adjusted net income growth of 20% operationally and 14% on a reported basis.

All of you who that know me know what's coming next. While good performance in a 90-day window looks great in a headline, we think about our business in terms of a year or even years. We don't guide to quarters and we don't manage to quarters, so please view this quarter as a strong quarter and view it as what it is, an indication that we remain solidly on track to deliver on our 2015 guidance and beyond. With that as a backdrop, I want to note that we've narrowed our 2015 guidance towards the upper end of the range. Good stuff indeed.

I mentioned FX rates, and I want to again call your attention to the impact of FX on our reported results. Foreign exchange rates continued to mute our reported revenue and profit growth. FX rates reduced our reported sales by some \$106 million compared with Q2 of 2014 or roughly 1,000 basis points while our adjusted net income growth was reduced by \$12 million or roughly 600 basis points compared with the prior-year second quarter. We manage our business and measure our performance on an operational basis or on a constant currency basis and, on that basis, we delivered.

As part of the operational efficiency program we announced in May, we consolidated from four reporting segments to two, U.S and International. From here forward, our financial reporting will reflect this new structure. A few weeks ago, we issued [ph] an 8-K (16:51) to provide you with a historical view of our 2014 and first quarter of 2015 results in this new reporting structure and I hope this helps you update your financial models and prepare for today's call.

The consolidation of our business into two segments will reduce the costs and complexity of our operations and also improves our decision-making and accountability at the local market level, where we drive value. If there's

any concerns that the consolidation of segments might reduce visibility into our performance, let me say that we believe with the revised disclosure providing revenue details on our most important countries rather than a somewhat arbitrary geographic grouping, should give you better visibility into the results and how we drive our results.

In today's earnings release, you will see revenue for the U.S. and international segments as well as additional breakdowns showing revenue for our top 11 international countries. This gives you visibility into the markets that compose 80% of our sales. Approximately 20% of the remaining revenue are being grouped and reported as Other Developed Markets and Other Emerging Markets.

I will caution you that with the increased granularity of the revenue reporting, you will see quarter-to-quarter fluctuations and I wouldn't read too much into that if you're looking at a single quarter in a single market in isolation. One of the strengths of our business models is the geographic diversity of our revenue and profit streams, particularly in Livestock. We participate in global markets and strengths and weaknesses in individual markets are generally offset by performance in other markets.

Finally, we also provided enhanced disclosure of the two segments showing revenue, cost of sales, operating expenses and pre-tax earnings. I hope you'll agree that our new financial reporting model is an improvement over the prior model.

Let me call your attention to a few highlights from the quarter. Juan Ramón mentioned this earlier, but it's worth repeating since it's a great way to illustrate the ways in which we can grow our top line.

Top level view, we delivered operational growth of 11% in the quarter, of which 3% was unit growth of in line products, 2% was from price, 2% was from growth of APOQUEL, 2% was from the addition of the acquired Abbott Animal Health products and 2% was from a range of new product introductions. I think in the second quarter we covered all of the ways that we can deliver operational revenue growth.

Next looking at the U.S., very strong growth of 17% over the prior-year quarter. We delivered growth in all species, companion animal, cattle, swine, poultry and equine. In companion animal, the big drivers were the addition of the Abbott products and APOQUEL.

In cattle, we had a continuation of favorable conditions supporting the use of our premium products and we increased sales of ACTOGAIN. In swine, herd sizes are recovering from the PEDV outbreak and we had the positive impact of new products in the portfolio, the PEDV vaccine and ENGAIN. Finally, poultry grew largely from the reintroduction of our Zoamix product.

In the international group, which grew 6% operationally, the top three countries contributing to the growth were Brazil, up 9% mainly due to favorable conditions in the livestock segment and new product launches, China which was up 26% with our livestock business benefiting from higher anti-infective use in some key swine accounts and growth in companion animal driven by momentum from Vanguard. And then finally in the U.K., which was up 12% based on strong performance of Stronghold and the addition of the Abbott Animal Health products.

Looking at species in the international group, livestock was up 6%, with cattle and swine offsetting lower sales of poultry products. Companion animal grew 8% operationally, primarily from sales of APOQUEL in Spain, India and Germany, a pick up in sales of parasiticide products in Western Europe, Australia, Canada and China and strong vaccine sales in China.

I should note that other emerging markets grew 10% operationally, and that included growth in Venezuela. You will recall that we are reducing our activities in Venezuela pending an improvement in the economic environment there for multinational companies. We're selling down our inventories in the country and will limit our future exports to Venezuela. Accordingly, sales and growth in this market may trend downward over the balance of the year and continue into 2016 at significantly lower levels. The impact of our reduced emphasis in Venezuela is reflected in our guidance for 2015, 2016 and 2017.

Turning for a minute to our operational efficiency initiative, and I'll give this from the finance guys' perspective. I'll start with the punchline. We're on track to deliver our target of at least \$300 million of operating expense reductions by calendar 2017. And as we implement the changes needed to deliver those savings, we're leaving intact the three interconnected capabilities that form our competitive advantage: our industry-leading direct sales force, our highly productive R&D engine, and our global supply chain. When we enter 2017, we will do so with a direct presence in all of the markets around the globe that matter, and we will be promoting a portfolio comprised of the products that matter to our customers and have the best prospects for delivering revenue and profit growth.

We want to be transparent with respect to one-time costs, and I want to call your attention to charges in the second quarter, and they're broken down into three buckets. First, the stand-up and other one-time costs, which are mainly associated with our separation from Pfizer, totaled \$39 million in the quarter. The lion's share of the stand-up costs should be behind us after Q2 of 2016.

Next, we recorded \$263 million of costs associated with the operational efficiency initiative, mainly for severance and asset impairments triggered by the changes to our organization. This included about \$25 million in non-cash charges. And finally, there's a bucket for our supply network strategy, which had \$15 million of charges as we're still in the early stages of this initiative. You can see on our webcast slide the current estimates of one-time costs expected to be recorded in 2015 through 2017. Please note the cash forecast for these charges remains the same as our previous guidance.

Next, guidance for 2015. Based on our strong performance in Q2, we're narrowing the range for both revenue and adjusted EPS towards the top end of our range. For revenue, \$4.7 billion to \$4.775 billion and adjusted EPS to \$1.63 to \$1.68 per share.

With respect to operating expenses, as I said earlier, we've made excellent progress paring back operating expenses through the first half of 2015. It's important to note that there are some natural seasonal trends to how we incur expenses. In 2014, we incurred 45% of our total operating expenses in the first half of the year and 55% in the second half, with Q4 being our highest expense quarter. And that's a trend that you can expect to see continued in 2015 but we expect to have more balance between Q3 and Q4 than in the past, which was more heavily loaded in Q4. Please keep that in mind as you think about the balance of this year.

Turning to our longer-term guidance for 2016 and 2017, we are affirming our expectations for 2016 and 2017 and call your attention to the tables included as part of our press release. When thinking about the longer-term, I want to point out that we assume a constant diluted share count of approximately 502 million shares outstanding.

As we said on our last call, but worth repeating, we intend to use our share repurchase program to at least offset the dilution related to the equity-based compensation that we provide to our colleagues. And I want to reiterate that the efficiency initiative will trigger an acceleration of some dilution under those plans. During second quarter, we repurchased 2.1 million shares for \$98 million, an average price of \$46.19 per share.

Next, you saw that we recently filed a shelf registration statement. While we have no immediate plans to raise capital, the shelf provides us with the financial flexibility to access the capital markets quickly when and if

appropriate. Looking ahead over the next six quarters or so, we have a number of calls on our cash, including for stand-up costs, the costs of implementing the efficiency initiative, our dividend, ongoing share repurchases, and a \$400 million debt maturity in February of next year. So it makes sense to be prepared for that, right?

That concludes our prepared remarks, and we will now open the line for your questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] And we'll take the first question from Kevin Ellich with Piper Jaffray. Please go ahead.

Kevin K. Ellich
Piper Jaffray & Co (Broker)

Q

Good morning. Thanks for taking the question. Juan Ramón, just wondering if you could give us a little bit more detail behind your comments on the APOQUEL supply and what's going on with the ERP and the implementation, with those billing issues?

Juan Ramón Alaix
Chief Executive Officer

A

Okay. I will answer the APOQUEL question, and then I will ask Paul to provide details of implementation of the ERP, not only in the U.S., but also in other markets in where we are implementing this new system for Zoetis. So in terms of APOQUEL, as I said, we were able to increase significantly the supply from April, but still we are facing some challenge in ramping up the manufacturing of API. And API, as we explained in some of our comments, it's a very complex manufacturing process and we had some delay in terms of producing all the needs for finished goods.

Now we have a process that, in our opinion, will meet the demands of the market, and we expect that very soon we will be able to meet all the market demands in line with our expectation. So in 2015, as I said, we plan to sell about \$150 million and significantly increase the revenues in 2016.

So I'm very confident that the situation is under control. We have all the capacity that we need to produce the API and also to produce the finished goods. And very soon the market will start getting all the needs for our customers.

So now Paul will provide an update on the ERP.

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Yeah, thanks, Juan Ramón. I got an email here that said it sounded like I was talking through a tin can, so I've changed microphones. I hope this is better sound quality for everybody. Let me start by saying when we went live with the implementation of SAP in the U.S. at the beginning of May, from a high level, the go-live was and continues to be a success. And that's not to say that everything is perfect. I'd say on the good side, as Juan Ramón referenced, we have full control of our key business processes and we have full integrity of our financial information. Where we have work to do is in addressing the ways in which our system changes has impacted on our customers.

Now, in the U.S. segment of our business, our systems interface with tens of thousands of customers and I'd say the overwhelming majority have been system is working well, but that doesn't matter if you're a customer where our systems change has led to issues with respect to you, you being the customer. So addressing all of those issues is and continues to be a top priority for us and we will continue to commit resources to resolving outstanding issues. I can assure you and I am sure others on the line, including I'm sure some of our customers, this is something that Juan Ramón and I think about every day.

Last thing on this, I hope, is I've been involved in a number of SAP implementations. And all of them have been successful and none of them have been without bumps in the road. We're going to call this implementation a success when our customers are happy with the level of our customer service and we've got work to do there and we're on it and we're on it every day.

Juan Ramón Alaix
Chief Executive Officer

A

So next question, please?

Operator: And we will take that question from Louise Chen with Guggenheim. Please go ahead.

Louise Chen
Guggenheim Securities LLC

Q

Hi. Thanks for taking my question. Paul, I know that you don't manage to the quarter, but I was curious how we should think about third quarter and fourth quarter more qualitatively in terms of EPS progression because you did announce a meaningful beat in second quarter, but you didn't raise your guidance as much as the beat. Thanks.

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Yeah, thanks, Louise. It's a Paul, I'll take that one. A couple of things. Let's think about the year and let's think about it in two halves. And please keep in mind that as I mentioned during my prepared remarks Venezuela will be ramping down over the second half of the year and, as Juan Ramón covered, we pared back our expectations there for APOQUEL to the lower end of our communicated range, still expecting to sell more than four times last year's volume, but towards the low end of our previously articulated range for APOQUEL.

Also bear in mind when you're looking at our business in the second half of the year, our livestock business, and that's been chugging along quite nicely, faces some very tough comps in the second half of the year. So realistically from a revenue perspective, we're going to be within our guidance range and we think that's pretty good. We're on track for 2015, we're on track for 2016, we're on track for 2017.

Now, on the expense side, which I think really drives more of the question of around income, the income, where should you be. I do call out in my prepared remarks the phasing of our OpEx and said 55% of our OpEx last year came in the second half of our year. We're expecting similar phasing in the second half of this year, although less pronounced than you saw last year between Q3 and Q4, so you really need to take that into account in order to think about the full year. We tightened our guidance range, we continue to be on track we think for a very solid 2015 with a lot of moving parts and on into 2016 and 2017.

Juan Ramón Alaix
Chief Executive Officer

A

So, next question?

Operator: Yes, we can take that question from Erin Wilson with Bank of America. Please go ahead.

Erin E. Wilson
Bank of America Merrill Lynch

Q

Thanks. Can you speak to the recent acquisition of KL Products in the poultry segment and will that be a meaningful contributor going forward? And how should we think about capital deployment more broadly as it relates to acquisitions? How would you characterize the deal pipeline right now and are you looking at both small and large targets? Thanks.

Juan Ramón Alaix
Chief Executive Officer

A

Yeah, thank you, Erin, for the questions. So the first on KL acquisition. It's a small acquisition, but it's an acquisition that also reinforce our presence in the poultry and we reinforce our presence also in the device part of our business. So we enter into a device business some year ago with the acquisition of Embrex, it is a device that is providing us the ability to vaccinate eggs. And it's a very efficient device, vaccinating up to 60,000 eggs per hour.

So to add to this devices, now we have added KL Products, but also we have strengthened our position in this part of the business. So a small acquisition, but at the same time, we provide some additional relations with our customers and provide some additional services to them.

Paul will respond to the capital deployment.

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Yeah, on the capital deployment, I can't resist going through the whole diagram of how we think about capital allocation. First and foremost we look to invest in our business if there are opportunities to drive significant value, for example, through increased investment in R&D and sales and marketing. Not to say we are, but that would be our first call because we have a business that can generate organic growth in line or faster than the markets in which we compete with these investments and that would lead to solid organic growth in earnings.

Now, next step, M&A is additive to our organic growth, or it would be additive to our organic growth. I think a good example from the Abbott acquisition earlier this year, which has been fitting in quite nicely and helping us with our results. I think we ended Q1 perhaps, might have been even sooner than that, we mentioned that now that we have line of sight towards completing the stand-up, I described us as tanned, rested and ready to look at M&A opportunities out there in the market. And we're looking for leverage in the places where we have expertise and where we can leverage our core capabilities. Broad spectrum, we look at pipeline assets, we look at end market products and technologies and we will look at company acquisitions.

I want to point out that we use a return-based framework to evaluate transactions. We're looking for deals that add value and cash flow and we feel would be value-generative to our shareholders as we look to pursue those deals. We've got some capacity to do deals and we're interested. And I'd say that there are certainly areas that are adjacencies for us or areas where we're currently under-represented where we'd like to do better.

Juan Ramón Alaix
Chief Executive Officer

A

And we'll continue assessing any opportunity that will make a strategic sense, will generate synergies in terms of revenues and costs, will add financial value. Also very important, also we incorporate in this assessment any antitrust issues that we may have. But definitely we see M&A as a way to complement our internal growth, our operational growth, internal growth and definitely increase the value of Zoetis and the value to our shareholders.

Next question, please?

Operator: Next question comes from John Kreger with William Blair. Please go ahead.

John C. Kreger
William Blair & Co. LLC

Q

Hi. Thanks very much. My question relates to the atopic dermatitis franchise that you're building. Can you talk about how APOQUEL will be positioned versus the new IL-31 antibody? And do you expect to do a full launch of the new antibody now or wait for more clinical data? Thanks.

Juan Ramón Alaix
Chief Executive Officer

A

Thank you, John. APOQUEL, it's an oral treatment compared to IL-31, that will be an injectable. APOQUEL, it's a pill, a daily pill that need to be taken on acute and also chronic conditions of a dog, while IL-31, it's a monthly injectable. So the position will be different and it will depend also on the [indiscernible] (37:28) of veterinarians, but definitely we see both of our products very complementary and maybe one much more focus on first-line treatment, while IL-31 can be used more for chronic conditions and for those dogs that require some additional attention from veterinarians and follow up from veterinarians.

The full launch of the product will be when we get the full license. So at the beginning we plan to introduce the product to dermatologists in the U.S. and through the use of the product then we'll gain details on the efficacy and the data will be used to present this information to the USDA and then finally get final approval, full license, in about a year.

Next question, please?

Operator: Next question comes from Chris Schott with JPMorgan. Please go ahead.

Wendy L. Lin
JPMorgan Securities LLC

Q

Good morning and thanks for the question. This is Wendy Lin on for Chris Schott. Congratulations on the strong quarter and the positive business updates. But you've had several big pipeline successes recently with APOQUEL and IL-31 and with [ph] several that are (38:51) coming soon. Can you talk about how you think about the anticipated pace of additional R&D developments? Should we expect another large product launching every two years, every year?

And then just on business development. You've said in the past that your business development efforts are focused on smaller and mid-sized deals and that these opportunities tend to be more therapeutically and geographically focused, like the Abbott deal. Are there any therapeutic or geographic areas that are particularly attractive? And are you interested in continuing to build in devices and diagnostics? Thank you.

Juan Ramón Alaix
Chief Executive Officer

A

Thank you, Wendy. I will try to go through all the different questions that you raised, starting with the pipeline. Definitely, we are very pleased with the productivity of our investment in R&D. We have been able to introduce APOQUEL, but also to show that we are a very strong player in terms of vaccines. And we had the opportunity to introduce also the vaccine for PEDv in record time. Now, we have also IL-31 that will also complement our franchise in the dermatology space. And we also expect in 2016 gaining approval for an oral parasiticide that is an important segment and where today we are underrepresented. We expect to introduce these products in both U.S. and also European end markets.

Definitely we are focused on bringing innovation and, in my opinion, now we are showing that we are leading not only in terms of revenue, but also in terms of innovation and we have been showing many examples of how our team is delivering this kind of innovation.

But at the same time we are continuing investing in the part which is equally important, which is extending the lifecycle of our portfolio. And this represents a significant part of our investment. In fact, most of our R&D budget is allocated to ensure that our products remain competitive. And we achieve that by combining products, increasing the indications and also geographical expansion. So very pleased with our product innovation and also with the pipeline. Definitely we like to see that these deliveries of this success continues in the future.

In terms of business development that you asked, we are now in the situation that we contemplate business development from a position of strength. We have a significant presence in all therapeutic areas. We have a significant presence in all geographies and also in all species, but we still see possibilities in some cases to fill gaps that also strengthen our position, but it will be only when it makes sense from the financial point of view.

In terms of other areas, we are very open to contemplate opportunities outside of our core business. We already entered in some of these complementary spaces in genetics, devices, diagnostics, and we'll continue assessing opportunities in these areas that will reinforce our position.

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Before we jump off, I want to go back to the kind of how you think about the productivity or the pace of things coming out of our R&D engine, because it is one of our competitive strengths. We often talk about – and this is in round numbers, everybody, but we often talk about our industry growing kind of mid-single digits over time with, if you thought of it as 5%, using it as an example, as a 5% growth industry, 2% coming from units, 2% coming from price, 1% coming from new products. Our goal is to deliver more from self-developed products than that 1%.

And, again, I don't want to focus too much on one quarter, but if you look in our quarter, second quarter of this year, we delivered 2% of our growth year-over-year from the introduction of products that have been in line less than a year. Products like ACTOGAIN, ENGAIN, our PEDV vaccine, Zoamix and a collection of all other products that are in line for less than a year.

So there's lots of things that are included in our R&D that are not in the same categories perhaps like an APOQUEL or a Sarolaner or perhaps even an IL-31. But we click along and that growth is, one, meaningful, and, two, to the extent that we can grow faster than the market at large, that's what helps us deliver on one of our value propositions, which is our ability to grow our sales at a rate faster than the market's.

Next question, please?

Operator: Yes, the next question is from Kathy Miner with Cowen & Company.

Kathy M. Miner

Cowen & Co. LLC

Q

Thank you. Good morning. I was wondering if you could give us a little more of an update on your outlook for the livestock by species, the cattle, swine and poultry? And specifically as we go through the end of 2015 and into 2016? And also if you could point out where the tough comparisons are for the second half that you mentioned earlier? Thank you.

Juan Ramón Alaix

Chief Executive Officer

A

Starting with livestock, we see that the market conditions are still favorable. If we start with cattle, the price of beef remains high. We see that also the value of the animals remains very high, and this also creating the opportunity to continue providing to both veterinarians and producers the products that they need to keep the animals healthy and productive.

Swine and poultry are also two species that have been performing very well. Swine in this quarter for average represented a growth of 14%, while in the quarter poultry was showing only 1%. But one of the advantages of Zoetis is that we have a presence in all species and we can really maximize the opportunities despite of some temporary challenges in one species or one therapeutic area or one geography.

So in that respect, we see that the prospect for livestock remain positive and we see that continuing in 2016.

You also asked about – Paul will cover.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

The other question was to talk about the tougher comparison in livestock compared with last year. You look back in the second half of 2014 and we had launches of or a significant ramp up of ACTOGAIN, ENGAIN, DRAXXIN 25, PCV M HYO, things like that in the prior year that were not present in the first half of 2014 in the comparator. So that's what leads to a more difficult comparison year-over-year in the livestock space.

Next question, please?

Operator: Next question is from Alex Arfaei with BMO Capital Markets. Please go ahead.

Alex Arfaei

BMO Capital Markets (United States)

Q

Good morning, folks. And congratulations on a strong quarter. Paul, can you give us your thoughts and expectations regarding potential tax reform the U.S., which seems to be gaining traction? And specifically for your company, is repatriation taxes an important driver for your overall tax rate?

And a follow up, if I may. You noted strong performance in Brazil driven by new product launches. Are these products that already available in other major markets, or can we expect similar launches for these products? Thank you.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Yeah, looking at first on the tax question is the ongoing dialogue around tax reform, which, by the way, has been going on forever. But that doesn't mean it won't gain some traction. But is that important to our structure? And the answer is: it could be to the extent that we have earnings in cash that is offshore in part of our tax structure. And currently we intend to permanently deploy that capital offshore if the rules are changing with that, just like any other U.S. multinational company. So we'll just have to wait and see on that.

Juan Ramón Alaix

Chief Executive Officer

A

So let me then answer to your question about new product introductions in other markets. We see in general that companion animals are more global products and this is something that when we have products in that segment, we try to introduce these products in all markets around the world. And this has been the case of APOQUEL and also will be the case of IL-31 and some of the products in this category.

In terms of livestock, it depends. And you asked about Brazil. Brazil is a very strong market in terms of cattle. But also the cattle industry they have very specific conditions. And we been introducing there definitely new products, but in some cases, very specific to Brazil.

And the more recent introduction has been products for reproduction that has been product introduced in Brazil at the end of 2014. We'll continue trying to expand our portfolio as much as we can geographically. And definitely this is part of our potential growth, ensuring that we have all of the variety of the products introduced in all of our markets.

Next question, please?

Operator: We'll go next to Mark Schoenebaum with Evercore ISI. Please go ahead.

Volodymyr Nikolenko

Evercore Partners, Inc.

Q

Okay. Thank you for taking my question. It's actually Vlad Nikolenko on behalf of Mark Schoenebaum. Congrats on the strong quarter. I just want to continue the question about the tax. So I'm wondering how much tax optimization or tax planning is already included in the long-term guidance? Because it looks like it's the effective tax rate continues to be between 29% and 30% for the next two years. So how much is already tax planning is already included in this guidance and if there is any additional potential to optimize further the tax rate longer term?

And somewhat related to the question about M&As, whether Zoetis will be interested in inversion transactions and for purposes of reporting, whether Zoetis might be interested in merging with a company which is not purely animal health. Thank you.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Sure. And it's Paul speaking. I mean, first question, how much is included in our long-term guidance. I mean we have a structure, I think we've articulated that we think we have a solid structure based on the hand that we're dealt here that will allow us to maintain a tax rate in the order of call it 29%-ish for the planning horizon, that for us goes out at least three years that we provided guidance.

We've talked many times and we look for any opportunity to grind that rate down. And it is a grind. It's not something that there's a magic bullet that we can put in place in the new structure and magically reduce our tax rate by 700 basis points. We do what we can. We think we have a good solid supportable structure and that's what's included in our guidance over the long term.

With respect to an inversion, we've talked about this as well. There are precious few companies that would make sense for us to work with. And the second thing that we talked about at our Investor Day back in November of last year is that based on our particular set of circumstances, we feel that in an inversion transaction, the benefit, if you are focused on the entity that is currently called Zoetis, that an offshore party could get, would be roughly to reduce our tax rate by some 600 basis points.

Lot of folks have suggested that there are other ways that could be pretty dramatically beyond that and that's our point of view. And that's what we said back in November and we continue to believe that. So an inversion transaction, while it could be helpful, is not something that for us would take our tax rate down into the low-double digits or single-digits

Juan Ramón Alaix
Chief Executive Officer

A

So we have not excluded any option, but you need to think about this opportunity that can be justified not only because of tax, but because of the strategic rationale of the decision. And this is something that we include in the assessment.

Next question, please?

Operator: We'll go next to David Risinger with Morgan Stanley. Please go ahead.

Q

Hi. Good morning. Thank you for taking the question. This is [ph] Odessa (53:04) filling in for Dave. So we have a question on pricing. Wondering whether Zoetis can raise prices in livestock and companion animal any more than you have in the past?

Juan Ramón Alaix
Chief Executive Officer

A

We are always trying to maximize gross profit. And the opportunity to maximize gross profit is coming from increasing the volume, increasing prices and finding the right balance between the volume and price. And to whether we are trying to move the strategy in terms of prices, definitely if we see opportunities to raise prices at a higher pace, we'll consider that.

We have been quite aggressive in price increases in some of the emerging markets and where we have high inflation. And then because of that, we are also applying high price increases. In developed markets, what we are trying also is to make sure that we remain competitive and we are not creating a negative impact in our volume that also will have an impact in revenues and also in terms of cost of manufacturing. All this is part of what we consider in terms of price increases.

Next question?

Operator: Next question comes from Jeff Holford. And this will be our final question today. Jeff, go ahead.

Jeffrey Holford

Jefferies LLC

Q

Hi. Thanks for taking my question. So as well as the operational efficiency program being very good for helping the efficiency of the overall business, you did talk on last quarter's call about how this might make Zoetis a much better platform for integrating acquisitions.

Can you just give us a bit more feel of when this process will have progressed through to the point where you're less focused on driving that process, that the platform is more efficient and you might be able to consider larger-sized deals? Because I would assume at the moment with a lot of work still to do in the program, that's not something that should be on the cards right now. Thank you.

Juan Ramón Alaix

Chief Executive Officer

A

Well, the program is running. And in my opinion, it's running at full speed. So we'll be finalizing all the organizational changes at the end of this year. And there will be also significant work done in terms of reduction of SKUs, also changing the more important markets. I don't see at this point that our operational efficiency program is any kind of restriction or creating and kind of restriction for M&A.

On the contrary, now we have an operation that has a clear endpoint and we can really maximize the opportunities of any acquisition with a model that will be more profitable. So the wheels are running very well in terms of our program. I don't see any concern or issue on delivering or exceeding the target of \$300 million and the same time considering M&A opportunities.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Yeah, it's Paul. I can't resist, I have to pile on. The operating efficiency initiative is not a gating factor in our looking at M&A opportunities. The best time to do a deal is when there is an attractive actionable deal in front of you. What I expressed earlier was we're ready. We would be able to take advantage of the situation if it presented itself. We're good to go.

Next question, please?

Operator: Yes, and we'll take that from Jami Rubin from Goldman Sachs. Please go ahead

Q

Hi. This is [ph] Ariel (56:55) in for Jami. I just wanted to follow up on the M&A question. Can you discuss your firepower? You mentioned on many calls how you're somewhat cash-constrained with operational efficiencies. So are you able to do a large-scale deal? And can you remind us what your max leverage ratio you're comfortable with, are you willing to use equity?

And then just secondly, there's been a lots of news flow about restrictions with antibiotic usage in livestock. So can you just provide some color at that, what is the downside risk for your business? Thanks.

Juan Ramón Alaix

Chief Executive Officer

A

Okay, Paul, do you mind answering the first question? And I will take the second one.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Yeah, sure. When we're thinking about M&A, let's go back and start and answer of the capital structure question first. We've not expressed an upper bound of what we would put on in terms of leverage. But what we have said is we are generally thinking of our target floor as roughly 2.5 times of EBITDA in our cap structure. And the expectation is in the normal course ranging 2.5 to 3.5 times, somewhere in that vicinity.

Now, what we've also said is that for the right opportunity, we would be more aggressive in the use of debt capital in order to be able to complete a value-generative transaction. So what does that mean? It means that we would look to balance our desire to maintain a solid credit profile and access to capital with how much debt we put on and having [ph] a clip halfway through (58:24) using that leverage over a period of time.

We have the capacity to do good-sized deals within our company. And as I said, the best time to do deals is when there's an opportunity in front of you. And we would use all available leverage in order to be able to fund and conclude a transaction that we felt was value-generative for all our shareholders.

Juan Ramón Alaix

Chief Executive Officer

A

And then let me take the question on antibiotics and what is the potential risk. We have in our portfolio about 30% of our revenues coming from antibiotics. Out of this 30%, 25% is companion animal, where we see low risk. And then the rest is between MFAs and also injectable products, which, again, we see less risk than product which are provided to animals in feed. There are different levels of categories on the use of antibiotics, therapeutic use, control, duration and also different species in where the problems arise.

There have been significant rumors or comments mainly in poultry in where some of the producers have decided to move away from medically important antibiotics and to use non-medically important antibiotics. We have in our portfolio both and we think that we can provide to our producers, mainly in the poultry activity, products that will meet their demand and also will meet also consumer demand.

So in our opinion, I think it's a risk that is manageable. And the advantage that I mentioned in many occasions is that we have a portfolio which is extremely diverse in terms of species, in terms of geographies, in terms of therapeutic areas. And also very important in terms of therapeutic areas, when they move away from antibiotics, they need to increase significantly the use of vaccines to protect this animal. So, again, we have a significant presence in vaccines so we can compensate any kind of impact on certain areas with an increase in others.

Next question, please?

Operator: And it appears we have no further questions at this time. So I will turn the floor back over to Juan Ramón for any closing remarks.

Juan Ramón Alaix

Chief Executive Officer

Thank you very much for attending this call and thank you very much for your questions. And, again, we feel that we reported this quarter very strong results and we are very confident on delivering our objective in 2015. Thank you very much.

Operator: Okay. Ladies and gentlemen, this does conclude today's teleconference. A replay of today's call will be available in two hours by dialing 800-695-0395 for U.S. listeners and 402-220-1388 for international. Please disconnect your lines at this time and have a wonderful day.

Disclaimer

The information herein is based on sources we believe to be reliable but is not guaranteed by us and does not purport to be a complete or error-free statement or summary of the available data. As such, we do not warrant, endorse or guarantee the completeness, accuracy, integrity, or timeliness of the information. You must evaluate, and bear all risks associated with, the use of any information provided hereunder, including any reliance on the accuracy, completeness, safety or usefulness of such information. This information is not intended to be used as the primary basis of investment decisions. It should not be construed as advice designed to meet the particular investment needs of any investor. This report is published solely for information purposes, and is not to be construed as financial or other advice or as an offer to sell or the solicitation of an offer to buy any security in any state where such an offer or solicitation would be illegal. Any information expressed herein on this date is subject to change without notice. Any opinions or assertions contained in this information do not represent the opinions or beliefs of FactSet CallStreet, LLC. FactSet CallStreet, LLC, or one or more of its employees, including the writer of this report, may have a position in any of the securities discussed herein.

THE INFORMATION PROVIDED TO YOU HEREUNDER IS PROVIDED "AS IS," AND TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, FactSet CallStreet, LLC AND ITS LICENSORS, BUSINESS ASSOCIATES AND SUPPLIERS DISCLAIM ALL WARRANTIES WITH RESPECT TO THE SAME, EXPRESS, IMPLIED AND STATUTORY, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, ACCURACY, COMPLETENESS, AND NON-INFRINGEMENT. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER FACTSET CALLSTREET, LLC NOR ITS OFFICERS, MEMBERS, DIRECTORS, PARTNERS, AFFILIATES, BUSINESS ASSOCIATES, LICENSORS OR SUPPLIERS WILL BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL OR PUNITIVE DAMAGES, INCLUDING WITHOUT LIMITATION DAMAGES FOR LOST PROFITS OR REVENUES, GOODWILL, WORK STOPPAGE, SECURITY BREACHES, VIRUSES, COMPUTER FAILURE OR MALFUNCTION, USE, DATA OR OTHER INTANGIBLE LOSSES OR COMMERCIAL DAMAGES, EVEN IF ANY OF SUCH PARTIES IS ADVISED OF THE POSSIBILITY OF SUCH LOSSES, ARISING UNDER OR IN CONNECTION WITH THE INFORMATION PROVIDED HEREIN OR ANY OTHER SUBJECT MATTER HEREOF.

The contents and appearance of this report are Copyrighted FactSet CallStreet, LLC 2015 CallStreet and FactSet CallStreet, LLC are trademarks and service marks of FactSet CallStreet, LLC. All other trademarks mentioned are trademarks of their respective companies. All rights reserved.